

GCE A LEVEL MARKING SCHEME

SUMMER 2024 (Predicted)

A LEVEL

ECONOMICS – COMPONENT 3

A520U30-1M – Moderate

About this marking scheme

The purpose of this marking scheme is to provide teachers, learners, and other interested parties, with an understanding of the assessment criteria used to assess this specific assessment.

This marking scheme reflects the criteria by which this assessment was marked in a live series and was finalised following detailed discussion at an examiners' conference. A team of qualified examiners were trained specifically in the application of this marking scheme. The aim of the conference was to ensure that the marking scheme was interpreted and applied in the same way by all examiners. It may not be possible, or appropriate, to capture every variation that a candidate may present in their responses within this marking scheme. However, during the training conference, examiners were guided in using their professional judgement to credit alternative valid responses as instructed by the document, and through reviewing exemplar responses.

Without the benefit of participation in the examiners' conference, teachers, learners and other users, may have different views on certain matters of detail or interpretation. Therefore, it is strongly recommended that this marking scheme is used alongside other guidance, such as published exemplar materials or Guidance for Teaching. This marking scheme is final and will not be changed, unless in the event that a clear error is identified, as it reflects the criteria used to assess candidate responses during the live series.

GENERAL MARKING GUIDANCE

Positive Marking

It should be remembered that learners are writing under examination conditions and credit should be given for what the learner writes, rather than adopting the approach of penalising him/her for any omissions. It should be possible for a very good response to achieve full marks and a very poor one to achieve zero marks. Marks should not be deducted for a less than perfect answer if it satisfies the criteria of the mark scheme, nor should marks be added as a consolation where they are not merited.

For each question there is a list of indicative content which suggest the range of economic concepts, theory, issues and arguments which might be included in learners' answers. This is not intended to be exhaustive and learners do not have to include all the indicative content to reach the highest level of the mark scheme.

The level-based mark schemes sub-divide the total mark to allocate to individual assessment objectives. These are shown in bands in the mark scheme. For each assessment objective a descriptor will indicate the different skills and qualities at the appropriate level. Learner's responses to questions are assessed against the relevant individual assessment objectives and they may achieve different bands within a single question. A mark will be awarded for each assessment objective targeted in the question and then totalled to give an overall mark for the question.

Section A.

1. Plastic bag charge leads to 98% drop in usage in UK supermarkets

1 1 Explain what is meant by a negative externality and why it leads to market failure. [10]

	AO1	AO3
Band	6 marks	4 marks
3	5-6 marks <i>Excellent knowledge</i> There is an excellent knowledge of negative externalities with clear distinction between private and social costs. A diagram may be well used to support the explanation.	3-4 marks <i>Good analysis</i> There is a logical development and clear analysis. Well developed chains of reasoning explain why negative externalities lead to allocative inefficiency and welfare loss.
2	3-4 marks <i>Good knowledge</i> Answers will have identified the concept of a negative externality but the distinction between private and social cost may be superficial.	1-2 marks <i>Limited analysis</i> Chains of reasoning are generally not well developed and unconvincing.
1	1-2 marks <i>Limited knowledge</i> Only a basic knowledge of externalities is demonstrated. Understanding of market failure may be vague or muddled.	1-2 marks <i>Limited analysis</i> Chains of reasoning are generally not well developed and unconvincing.
0	0 marks No relevant knowledge or understanding present.	0 marks No valid analysis present.

Indicative content

AO1

A negative externality is a third-party cost imposed on society as a result of an economic transaction, where the social cost exceeds the private cost.

Examples include air pollution from car exhausts, passive smoking, litter, and noise pollution.

Market failure occurs because the free market, focused only on private costs and benefits, fails to allocate resources efficiently from society's point of view.

AO3

Producers (or consumers) do not pay the full social cost of their actions, leading to over-consumption or over-production beyond the socially optimal level (where $MSB = MSC$).

This creates a deadweight welfare loss triangle – the difference between the private equilibrium and the social optimum.

Because the market price does not reflect the true social cost, resources are allocatively misallocated – too much is produced/consumed at a price below the social optimum.

A diagram showing MPC, MSC (or MPB, MSB for consumption externalities) would reinforce the welfare loss argument.

Fully credit all other relevant points.

1 2 Discuss whether indirect taxation is the most effective government policy to correct negative externalities of consumption. [20]

	AO1	AO3	AO4
Band	6 marks	6 marks	8 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of indirect taxation and alternative policies (regulation, tradable permits, subsidies, information provision).	5-6 marks <i>Excellent analysis</i> Excellent chain of reasoning as to how indirect taxation internalises the externality and reduces welfare loss.	6-8 marks <i>Excellent evaluation</i> A well-developed two-sided answer comparing indirect tax with other policies. The answer comes to a reasoned judgment.
2	3-4 marks <i>Good knowledge</i> A narrower range of policies is covered or understanding is more superficial.	3-4 marks <i>Good analysis</i> Chains of reasoning are generally strong although analysis at times lacks detail.	3-5 marks <i>Good evaluation</i> A strong two-sided answer with effective points on both sides.
1	1-2 marks <i>Limited knowledge</i> A few points are made but none to any great depth.	1-2 marks <i>Limited analysis</i> Chains of reasoning tend to be superficial or lack sophistication.	1-2 marks <i>Limited evaluation</i> The answer is two sided, but points are not well developed and/or unconvincing.
0	0 marks No knowledge or understanding shown.	0 marks No analysis.	0 marks No valid evaluation present.

Indicative content

This answer is reversible.

AO1/AO3 (For indirect taxation)

Indirect taxes such as the sugar levy, fuel duty, and alcohol duty raise the private cost of consumption, shifting supply inward ($S+tax$) and raising price towards the social optimum.

Taxes internalise the externality so that the polluter pays, consistent with the "polluter pays principle".

Indirect taxes generate government revenue, which can be hypothecated to fund clean-up, public health or environmental protection.

Price signals from the tax incentivise firms to innovate and develop cleaner alternatives (e.g. electric vehicles in response to fuel duty).

The plastic bag charge is a successful example – a small 10p levy produced a 98% reduction in usage, demonstrating elastic responses at the right tax level.

AO1/AO4 (Against / alternatives)

The tax may be set at the wrong level because it is difficult to place a monetary value on the externality (e.g. the social cost of a tonne of CO₂).

Demand may be inelastic (e.g. petrol, cigarettes), so the tax raises revenue but does little to reduce consumption – i.e. it is not effective at solving the externality.

Indirect taxes are regressive, falling disproportionately on lower-income households.

Risk of black market activity and cross-border purchasing if taxes are set too high.

Alternative policies may be more effective: regulation (bans/limits), tradable pollution permits (creating a market-based incentive), subsidies for substitutes, information provision, and nudges.

For some externalities, property rights allocation (Coase theorem) may be more effective.

Qualifiers

Much depends on the price elasticity of demand for the good.

The effectiveness of any policy depends on the ability of the government to measure the externality accurately.

A policy mix is likely to be more effective than one policy used in isolation.

Fully credit all other relevant points.

2. Energy regulator Ofgem caps household bills as "Big Six" profits soar

2 1 Outline what is meant by a monopoly and explain how it differs from a firm operating under perfect competition. **[10]**

	AO1	AO3
Band	6 marks	4 marks
3	5-6 marks <i>Excellent knowledge</i> There is excellent knowledge of monopoly (legal and economic definitions) and the features of perfect competition.	3-4 marks <i>Good analysis</i> There is logical development and clear analysis. Well developed chains of reasoning show how the structures differ in barriers to entry, pricing power, product differentiation and efficiency.
2	3-4 marks <i>Good knowledge</i> A more limited knowledge with one market structure understood better than the other.	1-2 marks <i>Limited analysis</i> Chains of reasoning are generally not well developed.
1	1-2 marks <i>Limited knowledge</i> Some knowledge of monopoly/perfect competition shown.	1-2 marks <i>Limited analysis</i> Chains of reasoning are vague or unconvincing.
0	0 marks No relevant knowledge or understanding present.	0 marks No valid analysis present.

Indicative content

AO1

A pure monopoly is a single firm that controls the entire output of an industry. In UK competition law, a firm with over 25% market share is considered to have monopoly power.

Perfect competition has many buyers and sellers, homogeneous products, perfect information, free entry and exit, and firms are price takers.

Monopolies face the entire downward-sloping market demand curve and therefore have price-making power.

AO3

Barriers to entry: monopolies protected by patents, economies of scale, brand, legal barriers; perfect competition has no barriers to entry.

Pricing: monopolists set price above MC, earning supernormal profit in the long run. Firms in perfect competition earn only normal profit in the long run.

Efficiency: perfect competition achieves productive ($P=\min AC$) and allocative efficiency ($P=MC$). Monopoly typically fails both, creating deadweight welfare loss.

Innovation: monopolists may fund R&D; from supernormal profits (dynamic efficiency), while perfectly competitive firms lack the retained earnings to innovate.

Fully credit all other relevant points.

2 2 Discuss whether monopolies always act against the public interest. [20]

	AO1	AO3	AO4
Band	6 marks	6 marks	8 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of the advantages and disadvantages of monopoly.	5-6 marks <i>Excellent analysis</i> Excellent chain of reasoning explaining when monopoly outcomes are against the public interest and when they are not.	6-8 marks <i>Excellent evaluation</i> A well-developed two-sided answer that reaches a reasoned judgment based on the circumstances.
2	3-4 marks <i>Good knowledge</i> A narrower range of points is covered.	3-4 marks <i>Good analysis</i> Chains of reasoning are generally strong.	3-5 marks <i>Good evaluation</i> Strong two-sided answer with effective points on both sides.
1	1-2 marks <i>Limited knowledge</i> A few points made, none to any great depth.	1-2 marks <i>Limited analysis</i> Chains of reasoning tend to be superficial.	1-2 marks <i>Limited evaluation</i> Two sided but points not well developed.
0	0 marks No knowledge or understanding shown.	0 marks No analysis.	0 marks No valid evaluation present.

Indicative content

This answer is reversible.

AO1/AO3 (Against public interest)

Monopolists restrict output and raise price ($P > MC$), creating allocative inefficiency and a deadweight welfare loss.

Without competitive pressure, monopolists may be productively inefficient (X-inefficiency) because there is little incentive to minimise costs.

Consumer choice is reduced and quality may suffer because consumers have no alternative supplier.

The Big Six energy firms in the UK generated windfall profits when wholesale gas prices rose, resulting in political pressure for Ofgem to impose price caps.

Monopolies may engage in price discrimination, extracting consumer surplus across segments.

AO1/AO4 (In favour / qualifications)

Economies of scale: monopolies may produce at lower average cost than a competitive market, benefiting consumers if the savings are passed on (natural monopoly argument – e.g. water, rail).

Dynamic efficiency: supernormal profits fund R&D, leading to innovation (pharmaceuticals, tech firms).

Monopolies may be internationally competitive national champions (e.g. global tech firms).

Cross-subsidisation: monopolists can fund socially desirable but unprofitable services (e.g. rural post offices).

Regulation (Ofgem, Ofwat, CMA) and contestability from potential entrants can discipline monopolists and ensure better outcomes.

Qualifiers

Depends on the effectiveness of regulation.

Depends on whether it is a natural monopoly (where one firm is most efficient) versus a contestable market where competition could deliver better outcomes.

Depends on whether supernormal profits are reinvested into R&D; or distributed to shareholders.

Fully credit all other relevant points.

Section B.

3. UK inflation rate falls to the 2% Bank of England target for the first time in three years

3 1 Using a diagram, explain what is meant by demand-pull inflation. [10]

	AO1	AO3
Band	6 marks	4 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of demand-pull inflation shown. An accurate well-labelled AD/AS diagram is drawn, integrated into the answer.	3-4 marks <i>Good analysis</i> Strong chains of reasoning linking causes (e.g. loose fiscal/monetary policy, export booms, consumer confidence) to rising AD and the resulting price-level increase.
2	3-4 marks <i>Good knowledge</i> Good knowledge of demand-pull inflation but the diagram contains minor errors or is not fully integrated.	1-2 marks <i>Limited analysis</i> Chains of reasoning are generally not well developed.
1	1-2 marks <i>Limited knowledge</i> A limited knowledge is shown. Vague understanding of the concept. Diagram missing or contains significant errors.	1-2 marks <i>Limited analysis</i> Chains of reasoning are unclear.
0	0 marks No relevant knowledge.	0 marks No valid analysis.

Indicative content

AO1

Demand-pull inflation is a sustained rise in the general price level caused by excess aggregate demand in the economy.

On an AD/AS diagram, it is shown as a rightward shift of AD ($AD \rightarrow AD'$) against an upward-sloping SRAS. The price level rises from P to P' and real output from Y to Y' .

Causes include: a consumer boom funded by credit, expansionary fiscal policy (tax cuts, higher government spending), expansionary monetary policy (lower interest rates, QE), rising exports (weaker exchange rate or foreign boom), and rising confidence.

AO3

As AD rises, firms face higher demand and bid up input prices (labour, raw materials), passing on higher costs in prices.

If the economy is close to full capacity (steep section of SRAS), increases in AD translate mainly into higher prices rather than higher output.

If AD grows faster than potential output (LRAS), inflationary pressure becomes persistent.

Inflation expectations can become embedded, creating a wage-price spiral.

Fully credit all other relevant points.

3 2 Evaluate the effectiveness of monetary policy in controlling inflation. [20]

	AO1	AO3	AO4
Band	6 marks	6 marks	8 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of monetary policy instruments (Bank Rate, QE, forward guidance, macroprudential tools).	5-6 marks <i>Excellent analysis</i> Excellent chain of reasoning linking interest rate changes to AD components and therefore the price level.	6-8 marks <i>Excellent evaluation</i> Well-developed two-sided answer distinguishing effectiveness against demand-pull vs cost-push inflation and different circumstances. Reasoned judgment.
2	3-4 marks <i>Good knowledge</i> Narrower range of policies covered.	3-4 marks <i>Good analysis</i> Good line of argument but clarity of analysis may be lacking.	3-5 marks <i>Good evaluation</i> Strong two-sided answer.
1	1-2 marks <i>Limited knowledge</i> A few points, little depth.	1-2 marks <i>Limited analysis</i> Chains of reasoning superficial.	1-2 marks <i>Limited evaluation</i> Two sided but undeveloped.
0	0 marks No knowledge.	0 marks No analysis.	0 marks No evaluation.

Indicative content

This answer is reversible.

AO1/AO3 (For effectiveness)

Higher Bank Rate raises the cost of borrowing and return on saving, reducing consumption and investment. This reduces AD and inflationary pressure.

Higher rates strengthen the exchange rate, making imports cheaper and reducing imported inflation – useful in open economies like the UK.

Quantitative tightening reduces the money supply, reinforcing the dampening effect on AD.

Forward guidance can anchor inflation expectations, preventing wage-price spirals.

Independent central banks (Bank of England since 1997) are credible inflation-fighters, enhancing the effectiveness of policy signals.

The UK inflation rate falling to the 2% target in 2024 demonstrates the Bank's hiking cycle (0.1% to 5.25%) was effective at restraining demand.

AO1/AO4 (Against / limitations)

Monetary policy operates with long and variable time lags (12–24 months) – rate changes today affect inflation much later.

Monetary policy is a blunt instrument; it cannot target specific sectors or regions.

Zero Lower Bound: during the 2010s, interest rates could not be cut further, blunting the ability of monetary policy to stimulate when needed.

Monetary policy is ineffective against cost-push inflation (e.g. oil price shocks, supply chain issues) – raising rates risks recession without curing the price rises.

Higher interest rates damage mortgage holders and firms, potentially triggering recession and hurting long-term investment/growth.

Alternative policies: fiscal policy (tighter fiscal stance), supply-side policies to boost productive capacity, and direct intervention (price caps, subsidies).

Qualifiers

Depends on the type of inflation (demand-pull vs cost-push).

Depends on the credibility of the central bank and state of expectations.

Depends on the interest rate sensitivity of AD in the economy (e.g. high mortgage penetration).

Fully credit all other relevant points.

4. UK unemployment rises for the first time in 18 months as labour market cools

4 1 Explain the different types of unemployment. [10]

	AO1	AO3
Band	6 marks	4 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of frictional, structural, cyclical, seasonal, classical/real-wage, and voluntary unemployment.	3-4 marks <i>Good analysis</i> Clear chains of reasoning for the causes of each type.
2	3-4 marks <i>Good knowledge</i> A narrower range of types identified, or explanations superficial.	1-2 marks <i>Limited analysis</i> Chains of reasoning are weak.
1	1-2 marks <i>Limited knowledge</i> Some types mentioned.	1-2 marks <i>Limited analysis</i> Chains of reasoning unconvincing.
0	0 marks No knowledge.	0 marks No analysis.

Indicative content

AO1/AO3

Frictional unemployment: short-term, caused by workers moving between jobs. It exists even in a fully-employed economy due to imperfect information.

Structural unemployment: caused by a mismatch between workers' skills/location and available jobs. Examples include the decline of coal mining, steel works, and high-street retail in the UK.

Cyclical/demand-deficient unemployment: caused by a fall in aggregate demand during a recession (e.g. 2008–09, 2020). AD falls, firms reduce output and lay off workers.

Seasonal unemployment: affects industries with seasonal demand (agriculture, tourism).

Classical/real-wage unemployment: caused by wages being held above market clearing by minimum wages, unions or efficiency wage theory.

Voluntary unemployment: workers who choose not to accept jobs at prevailing wages (sometimes because benefits are relatively generous).

Hidden unemployment: discouraged workers and the underemployed.

Fully credit all other relevant points.

4 2 Evaluate the likely effectiveness of supply-side policies in reducing unemployment. [20]

	AO1	AO3	AO4
Band	6 marks	6 marks	8 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of a wide range of supply-side policies (market-based and interventionist).	5-6 marks <i>Excellent analysis</i> Clear chains of reasoning linking individual supply-side policies to unemployment reductions.	6-8 marks <i>Excellent evaluation</i> Well-developed two-sided answer comparing with demand-side alternatives and noting limitations. Reasoned judgment.
2	3-4 marks <i>Good knowledge</i> Narrower range of policies.	3-4 marks <i>Good analysis</i> Good line of argument.	3-5 marks <i>Good evaluation</i> Strong two-sided answer.
1	1-2 marks <i>Limited knowledge</i> Few points.	1-2 marks <i>Limited analysis</i> Weak chains.	1-2 marks <i>Limited evaluation</i> Two sided but undeveloped.
0	0 marks No knowledge.	0 marks No analysis.	0 marks No evaluation.

Indicative content

This answer is reversible.

AO1/AO3 (For effectiveness)

Education and training: apprenticeships, T-levels, retraining schemes (Kickstart, Restart) address structural unemployment by upskilling workers.

Welfare/tax reforms: reducing unemployment trap (Universal Credit taper), cutting income tax, raising NICs thresholds, to increase work incentives.

Labour market flexibility: easing employment protection, reforming trade unions, supporting zero-hours/gig work can address classical unemployment.

Improving geographic mobility: housing market reforms, transport infrastructure (HS2) help workers move to where jobs are.

Infrastructure investment: crowding in private investment, reducing firm costs, creating jobs.

Regional policy/enterprise zones: targeted tax breaks for high-unemployment areas.

AO1/AO4 (Against / limitations)

Supply-side policies typically take years to take effect (e.g. education) – not useful for acute cyclical unemployment.

If unemployment is cyclical (demand-deficient), supply-side measures won't help until AD recovers – demand-side policies may be needed instead.

Labour market deregulation can create insecure, low-paid, low-productivity jobs and inequality (hysteresis effects).

Fiscal cost of training programmes and infrastructure, with a long payback period.

Geographic mobility reforms may be blocked by housing market rigidities (e.g. unaffordable South-East property).

Effectiveness depends on complementary demand conditions – firms must be willing to hire.

Qualifiers

Depends on the type of unemployment being addressed.

Long-term investment in human capital typically more effective than deregulation.

Depends on the broader macroeconomic context.

Fully credit all other relevant points.

Section C.

5. UK joins CPTPP Pacific trade bloc in first major post-Brexit trade deal

5 1 With the aid of a diagram, explain the theory of comparative advantage. [10]

	AO1	AO3
Band	6 marks	4 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of comparative advantage. An accurate numerical example or PPF diagram is well used.	3-4 marks <i>Good analysis</i> Strong chains of reasoning linking opportunity cost differences to specialisation and mutual gains from trade.
2	3-4 marks <i>Good knowledge</i> Theory is shown with minor errors or diagram lacks full integration.	1-2 marks <i>Limited analysis</i> Chains of reasoning not well developed.
1	1-2 marks <i>Limited knowledge</i> Confusion between absolute and comparative advantage. Diagram missing/wrong.	1-2 marks <i>Limited analysis</i> Vague.
0	0 marks No knowledge.	0 marks No analysis.

Indicative content

AO1

Comparative advantage (Ricardo): a country has comparative advantage in a good if it can produce that good at a lower opportunity cost than another country.

Even if country A has absolute advantage in both goods, both countries can still gain from trade if they specialise according to comparative advantage.

Candidates can use a PPF diagram showing two countries with differently-sloped frontiers, or a numerical opportunity cost table comparing outputs.

AO3

By specialising where opportunity cost is lowest and trading, world output rises and both countries consume beyond their original PPFs.

Prices of imports fall, raising real income and consumer surplus.

Competition from imports drives domestic efficiency and innovation.

Assumptions: constant returns to scale, perfect factor mobility, no transport costs, no externalities – all restrictive in the real world.

Fully credit all other relevant points.

5 2 Discuss the extent to which free trade agreements benefit the UK economy. [20]

	AO1	AO3	AO4
Band	6 marks	6 marks	8 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of benefits and costs of FTAs (CPTPP, EU-UK TCA).	5-6 marks <i>Excellent analysis</i> Clear chains of reasoning on tariff elimination, market access, investment, and trade creation.	6-8 marks <i>Excellent evaluation</i> Two-sided answer weighing benefits against risks, reaching a reasoned judgment.
2	3-4 marks <i>Good knowledge</i> Narrower range.	3-4 marks <i>Good analysis</i> Good line of argument.	3-5 marks <i>Good evaluation</i> Strong two-sided answer.
1	1-2 marks <i>Limited knowledge</i> Few points.	1-2 marks <i>Limited analysis</i> Weak chains.	1-2 marks <i>Limited evaluation</i> Undeveloped.
0	0 marks No knowledge.	0 marks No analysis.	0 marks No evaluation.

Indicative content

This answer is reversible.

AO1/AO3 (For)

FTAs reduce tariffs and non-tariff barriers, increasing exports from UK firms (CPTPP gives access to 500m consumers, Japan-UK deal).

Lower import prices improve consumer welfare and real incomes.

Trade creation: more efficient producers displace less efficient ones, improving allocative efficiency.

Access to larger markets allows UK firms to exploit economies of scale.

FTAs can attract FDI by signalling openness and stable trade rules.

Integration into global value chains (particularly services, where the UK has a comparative advantage) is enhanced.

AO1/AO4 (Against / limitations)

Trade diversion: FTAs may divert trade away from more efficient non-members to less efficient members.

The CPTPP is estimated to add only 0.08% to UK GDP over 15 years – modest benefits compared to the loss of EU single market access.

Asymmetric benefits: some sectors (e.g. financial services, professional services) gain; others (agriculture, low-skilled manufacturing) may be hurt.

FTAs may reduce regulatory sovereignty and force regulatory alignment.

Structural adjustment costs: displaced workers and regions bear the cost of trade liberalisation.

Risk of import surges harming domestic industries.

Qualifiers

Depends on the depth and scope of the FTA.

Depends on the relative size of FTA partners.

Depends on whether complementary domestic policies (retraining, regional policy) cushion adjustment costs.

Fully credit all other relevant points.

6. Sub-Saharan Africa's GDP growth forecast at 3.8% amid calls for increased aid

6 1 Explain the main characteristics of low-income countries. [10]

	AO1	AO3
Band	6 marks	4 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of a wide range of characteristics (economic, social, demographic, institutional).	3-4 marks <i>Good analysis</i> Logical development explaining how characteristics are interrelated.
2	3-4 marks <i>Good knowledge</i> Narrower range of characteristics.	1-2 marks <i>Limited analysis</i> Weak chains of reasoning.
1	1-2 marks <i>Limited knowledge</i> Basic knowledge of a few characteristics.	1-2 marks <i>Limited analysis</i> Unconvincing.
0	0 marks No knowledge.	0 marks No analysis.

Indicative content

AO1

World Bank defines low-income countries as those with GNI per capita below \$1,135 (2024).

Economic: low GDP per capita, primary product dependency, low savings/investment, large informal sectors, dual economies.

Social: low life expectancy, high infant mortality, low literacy, poor access to education and healthcare.

Demographic: rapid population growth, youthful populations, high fertility rates, rapid urbanisation and slum formation.

Institutional: weak governance, corruption, poor property rights, political instability, poor infrastructure.

AO3

Low income → low savings → low investment → low capital stock → low productivity → low income (Harrod-Domar "poverty trap").

Primary product dependency leaves economies vulnerable to commodity price volatility (Prebisch-Singer hypothesis).

Weak institutions discourage FDI and entrepreneurship, perpetuating underdevelopment.

Debt overhang crowds out spending on health and education.

Fully credit all other relevant points.

6 2 Discuss whether foreign aid is the most effective strategy for promoting economic development in low-income countries. **[20]**

	AO1	AO3	AO4
Band	6 marks	6 marks	8 marks
3	5-6 marks <i>Excellent knowledge</i> Excellent knowledge of different forms of aid (bilateral, multilateral, tied, untied, grants, loans) and alternative strategies.	5-6 marks <i>Excellent analysis</i> Clear chains of reasoning linking aid to development outcomes.	6-8 marks <i>Excellent evaluation</i> Balanced, with reasoned judgment considering circumstances when aid is more/less effective.
2	3-4 marks <i>Good knowledge</i> Narrower range.	3-4 marks <i>Good analysis</i> Good line of argument.	3-5 marks <i>Good evaluation</i> Strong two-sided.
1	1-2 marks <i>Limited knowledge</i> Few points.	1-2 marks <i>Limited analysis</i> Weak chains.	1-2 marks <i>Limited evaluation</i> Undeveloped.
0	0 marks No knowledge.	0 marks No analysis.	0 marks No evaluation.

Indicative content

This answer is reversible.

AO1/AO3 (For foreign aid)

Aid can fill the savings gap and foreign exchange gap, providing capital for investment in human capital and infrastructure (Harrod-Domar model).

Humanitarian aid alleviates immediate suffering and saves lives during crises.

Project aid (schools, hospitals, clean water) improves health, literacy and long-run productivity.

Multilateral aid (World Bank, IMF) can come with conditionality to promote reform.

Technical assistance transfers know-how and builds institutional capacity.

AO1/AO4 (Against / alternatives)

Aid dependency: recipient governments may become reliant on aid flows rather than building domestic tax bases (William Easterly critique).

Corruption and leakage: aid may be captured by elites rather than reaching the poor.

Tied aid may force countries to buy donor-country goods at inflated prices.

Dutch disease: aid inflows can cause exchange rate appreciation and harm export competitiveness.

Aid may distort local markets and undermine domestic producers (e.g. food aid collapsing local farmers' prices).

Alternative strategies: trade liberalisation and market access (e.g. AGOA), debt relief, FDI, microfinance, remittances, good governance reforms, investment in institutions, infrastructure and education.

The "trade not aid" argument – sustained development comes from integration into global value chains, not transfers.

Qualifiers

Depends on the type of aid (emergency vs development).

Depends on governance quality – aid works best where institutions are capable.

Depends on complementary policies – aid is usually more effective as part of a wider strategy than alone.

Fully credit all other relevant points.

AO grid

	AO1	AO2	AO3	AO4	Total
1 (a)	6		4		10
1 (b)	6		6	8	20
2 (a)	6		4		10
2 (b)	6		6	8	20
3 (a)	6		4		10
3 (b)	6		6	8	20
4 (a)	6		4		10
4 (b)	6		6	8	20
5 (a)	6		4		10
5 (b)	6		6	8	20
6 (a)	6		4		10
6 (b)	6		6	8	20
Total	36	0	30	24	90

A520U30-1M EDUQAS GCE A Level Economics – Component 3 MS S24/MLS – Moderate